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AI



Intel continues to pull
back on its
manufacturing projects

Intel

Intel CEO Lip-Bu Tan is making progress on his plan for the company to shed its inefficiencies. And that includes spiking several manufacturing projects.

The semiconductor giant reported Thursday in its second-quarter earnings report that it will delay, and in some cases not move forward with, multiple manufacturing projects. Specifically, Intel said it was no longer going forward with its previously announced projects in Germany and Poland. Those projects included an assembly and testing facility in Poland and a chip factory in Germany. Both projects have been sitting in limbo since being suspended in 2024, shortly after being announced.

IMAGE CREDITS:

JOAN CROS/NURPHOTO / GETTY IMAGES

The company also plans to consolidate its test operations in Costa Rica and concentrate these operations to its sites in Vietnam and Malaysia.

“Unfortunately, the capacity investment we make over the last several years were well ahead of demand and were unwise and excessive,” Tan said on the company’s second-quarter earnings call.

“Our factory footprint has become needlessly fragmented. Going forward, we will grow our capacity based solely on the volume commitments and deploy capex lockstep with the tangible milestones, and not before.”

Intel also said it was going to further delay its \$28 billion Ohio chip factory. The factory was initially

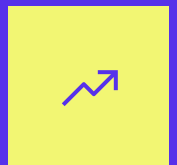
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supposed to open in 2025 and was already [delayed once this year in February](#).

The second quarter was the first full quarter with Tan at the helm of Intel. He was named [CEO of the semiconductor company on March 12](#) and started the role a week later. Shortly after, Tan said his plan was to [eliminate inefficiencies](#) at the company by selling off its noncore units and streamlining operations.

“We have much work to do in building a clean and streamlined organization, which we have started in earnest, and it remain an area of focus for me during Q3,” Tan said on the Q2 earnings call. “Our goal is to reduce inefficiencies and redundancies and increase accountability at every level of the company.”

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The company also gave an update on its workforce, which has gone through several rounds of layoffs. Intel reduced its workforce by about 15% and plans to end the year with 75,000 employees, the

company said. Intel was able to eliminate 50% of management layers through its recent layoffs, Tan said.

Intel announced in June in an internal memo that it was going to [lay off 15% to 20%](#) of workers in its Intel Foundry unit, which designs and manufactures chips for external clients. The company had 108,900 employees at the end of 2024, according to the company's [annual report](#) filed with the Securities and Exchange Commission. That's down from the 124,800 people it employed at the end of 2023.

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As Intel welcomes a new CEO, a look at where the company stands

Rebecca Szkutak — 4:20 PM PDT · March 12, 2025

Semiconductor giant Intel hired [semiconductor veteran Lip-Bu Tan](#) to be its new CEO. This news comes three months after [Pat Gelsinger retired](#) and stepped down from the company's board, with Intel CFO David Zinsner and executive vice president of client relations Michelle Johnston Holthaus stepping in as co-CEOs.

IMAGE CREDITS: INTEL CORPORATION

Tan, who was most recently the CEO of Cadence Design Systems, is joining Intel — and rejoining the board — at an interesting time in the Silicon Valley company's history. Intel has seen its fair share of ups and downs in the past few years — to put it mildly.

When Gelsinger took the helm in February 2021, Intel was already struggling and was falling far behind its peers in the semiconductor race. At the time, the company was likely still reeling from [missing out on the smartphone revolution](#) in addition to missteps when it came to chip fabrication.

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It was also an interesting time for the semiconductor industry at large. The sector had seen a lot of recent consolidation in late 2020, including [AMD acquiring Xilinx](#) for \$35 billion and [Analog buying Maxim](#) for \$21 billion, among others.

So how was Gelsinger's most recent tenure at Intel? Let's take a look.

Gelsinger got right to work when he started. He announced a modernization plan for the company, [dubbed IDM](#), or integrated device manufacturing. The first part of the goal was a \$20 billion investment to build two new chip manufacturing facilities in Arizona, with plans to boost chip production in the U.S. and beyond.

In 2022, the company announced the second part of this IDM plan, which involved a three-pronged approach to chip manufacturing: Intel's fabs, third-party global manufacturers, and building out the company's foundry services. As part of this plan, the company announced it would [acquire Tower Semiconductor](#) for \$5.4 billion to help build out Intel's custom foundry services.



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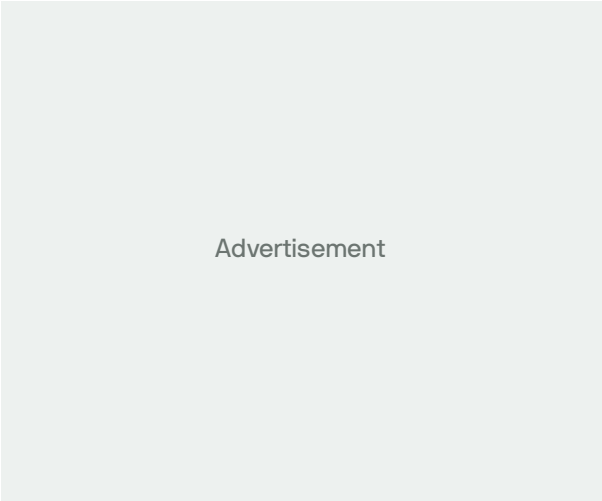
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That deal fell through, however, after facing regulatory hurdles. It was canceled in the summer of 2023. At the time, TechCrunch [reported](#) that the merger not going through would have a serious impact on the company's modernization plans. In September 2024, [Intel took steps to transition its chip foundry division](#), Intel Foundry, to an independent subsidiary.

The time leading up to Gelsinger's retirement was particularly tumultuous for Intel. The company's stock price plummeted about 50% from the beginning of 2024 to Gelsinger's departure in December. Intel announced plans to [lay off 15% of its workforce](#), around 15,000 people, in August after dismal second-quarter results. At that time, Gelsinger said the company had struggled to capitalize on the AI boom in the same way its rivals had, and that despite falling behind, Intel had overgrown headcount.

In the time since Gelsinger's departure, the company has [delayed the opening of its Ohio chip factory](#) — again — and decided not to bring its [Falcon Shores AI chips](#) to market.

But as Tan takes the lead, things may be starting to head in the right direction. Intel finalized a deal with the U.S. Department of Commerce to receive a [\\$7.865 billion grant](#) for domestic semiconductor manufacturing through the U.S. Chips and Science Act; Intel has already received [\\$2.2 billion of that grant money](#), according to its fourth-quarter earnings call. The company was also able to notch a win when it comes to the popularity of its Arc B580 graphics card, which sold out after [positive early reviews](#).



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A timeline of the US semiconductor market in 2025

Rebecca Szkutak — 10:01 AM PDT · July 25, 2025

It's been a tumultuous year for the U.S. semiconductor industry.

The semiconductor industry plays a sizable role in the "AI race" that the U.S. seems determined to win, which is why this context is worth paying attention to: from Intel's appointment of Lip-Bu Tan to CEO — who wasted no time getting to work trying to revitalize the legacy company — to Joe Biden proposing sweeping new AI chip export rules on his way out of office that never came to fruition.

Here's a look at what's happened so far in 2025.

July

Intel continues to look for efficiency

July 24: Intel announced that it was [pulling back on some of its manufacturing operations](#). The company will no longer pursue its previously announced projects in Germany and Poland and is consolidating its test operations. Intel also announced it plans to end this year with around 75,000 employees.

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Trump's AI Action Plan

July 23: The Trump administration unveiled its much-anticipated [AI Action Plan](#) alongside multiple related executive orders. While the plan includes a lot regarding the need for U.S. chip export controls, and for the U.S. to coordinate with its allies on this effort, it doesn't provide any concrete information on what these restrictions would look like.

Groundbreaking UAE AI deal reportedly on hold

July 17: The Trump administration helped foster a groundbreaking deal in May that resulted in a commitment from the United Arab Emirates to buy billions of dollars' worth of AI chips from Nvidia. But now [that deal is reportedly on hold](#) as the U.S. works through national security concerns and fears that those chips could be smuggled from the Middle East to China.

Nvidia is a bargaining chip

July 16: A day after semiconductor firms like Nvidia and AMD got the green light to resume selling certain AI chips to China, we found out why. U.S. Commerce Secretary Howard Lutnick said the plans to allow U.S. companies to start selling AI chips in China is [tied to ongoing trade discussions](#) between the U.S. and China regarding rare earth elements.



Google takes on ChatGPT's Study Mode with new 'Guided Learning' tool in Gemini

Aisha Malik - 13 hours ago

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U.S. chips head back to China

July 14: Nvidia said it was filing an application to [restart sales of H20 AI chips](#) in China, [confirming rumors from a few weeks prior](#). The company also announced that it would be selling a new chip, the RTX Pro, which was designed specifically for the Chinese market.

Malaysia fights chip smuggling

July 14: Malaysia announced that it was launching [trade permits for U.S.-made AI chips](#). Under this new restriction, any individual or business would need to give the Malaysian government 30 days notice before exporting any U.S. AI chips.

June

Intel appoints new leadership

June 18: Intel announced [four new leadership appointments](#) that Intel says will help it move toward its goal of becoming an engineering-first company again. Intel announced a new chief revenue officer in addition to multiple high-profile engineering hires.

Intel to begin layoffs

June 17: Intel will begin to [lay off a significant chunk of its Intel Foundry staff](#) in July. The company plans to eliminate at least 15%, and up to 20%, of workers in that business unit. These layoffs aren't a shock: It was rumored back in April, and Intel's CEO Lip-Bu Tan has said he wants to flatten the organization.

Nvidia won't report on China

June 13: Nvidia isn't counting on the U.S. backing off of its AI chip export restrictions anytime soon. After the company took a financial hit from the newly imposed licensing requirements on its H20 AI chips, Nvidia CEO Jensen Huang said the company will [no longer include the Chinese market](#) in future revenue and profit forecasts.

AMD acquires the team behind Untether AI

June 6: AMD makes another acquisition — this time focused on talent. The company [acqui-hired the team behind Untether AI](#), which develops AI inference chips, as the semiconductor giant continues to round out its AI offerings.

AMD is coming for Nvidia's AI hardware dominance

June 4: AMD continued its shopping spree. The company [acquired AI software optimization startup Brium](#), which helps companies retrofit AI software to work with different AI hardware. With a lot of AI software being designed with Nvidia hardware in mind, this acquisition isn't surprising.

May

Nvidia lays out the impact of chip export restrictions

May 28: Nvidia reported that U.S. licensing requirements on its H20 AI chips [cost the company \\$4.5 billion in charges](#) during Q1. The company expects these requirements to result in an \$8 billion hit to Nvidia's revenue in Q2.

AMD acquires Enosemi

May 28: AMD kicks off its acquisition spree. The semiconductor company [announced that it acquired Enosemi](#), a silicon photonics startup. Enosemi's tech, which uses light photons to transmit data, is becoming an increasing area of interest for semiconductor companies.

Tensions start to flare between China and the U.S.

May 21: China's Commerce Secretary didn't like the U.S.'s guidance, issued on May 13, that warned U.S. companies that using Huawei's AI chips "anywhere in the world" was a U.S. chip export violation. The commerce secretary [issued a statement that threatened legal action](#) against anyone caught enforcing that export restriction.

Intel may be starting to offload its non-core units

May 20: Intel CEO Lip-Bu Tan seemingly got right to work on his plan to spin out Intel's non-core business units. The semiconductor giant is reportedly looking to [offload its networking and](#)

[edge units](#), which makes chips for telecom equipment, and was responsible for \$5.4 billion of the company's 2024 revenue.

The Biden administration's AI

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Artificial Intelligence Diffusion" was set to go into place, the Trump administration plans on taking a different path. According to multiple media outlets, including [Axios](#) and [Bloomberg](#), the administration won't enforce the restrictions when they were supposed to start on May 15 and is instead working on its own framework.

April

Anthropic doubles down on its support of chip export restrictions

April 30: Anthropic [doubled down on its support](#) for restricting U.S.-made chip exports, including some tweaks to the Framework for Artificial Intelligence Diffusion, like imposing further restrictions on Tier 2 countries and dedicating resources to enforcement. [An Nvidia spokesperson shot back](#), saying, "American firms should focus on innovation

and rise to the challenge, rather than tell tall tales that large, heavy, and sensitive electronics are somehow smuggled in ‘baby bumps’ or ‘alongside live lobsters.’”

Planned layoffs at Intel

April 22: Ahead of its Q1 earnings call, Intel said it was planning to lay off more than [21,000 employees](#). The layoffs were meant to streamline management, something CEO Lip-Bu Tan has long said Intel needed to do, and help rebuild the company’s engineering focus.

The Trump administration further restricts chip exports

April 15: Nvidia’s H20 AI chip got hit with an export [licensing requirement](#), the company disclosed in an SEC filing. The company added it expects \$5.5 billion in charges related to this new requirement in the first quarter of its 2026 fiscal year. The H20 is the most advanced AI chip Nvidia can still export to China in some form or fashion. TSMC and Intel reported similar expenses the same week.

Nvidia appears to talk its way out of further chip exports

April 9: Nvidia’s CEO [Jensen Huang was spotted attending dinner at Donald Trump’s Mar-a-Lago resort](#), according to reports. At the time, [NPR reported](#) Huang may have been able to spare Nvidia’s H20 AI chips from export restrictions upon agreeing to invest in AI data centers in the U.S.

An alleged agreement between Intel and TSMC

April 3: Intel and TSMC [allegedly reached a tentative agreement](#) to launch a joint chipmaking venture. This joint venture would operate Intel's chipmaking facilities, and TSMC would have a 20% stake in the new venture. Both companies declined to comment or confirm. If this deal doesn't come to fruition, this is likely a decent preview of potential deals in this industry to come.

Intel spins off noncore assets, announces new initiative

April 1: CEO Lip-Bu Tan got to work right away. Just weeks after he joined Intel, the company announced that it was going to [spin off noncore assets](#) so it could focus. He also said the company would launch new products, including custom semiconductors for customers.

March

Intel names a new CEO

March 12: Intel announced that industry veteran, and former board member, [Lip-Bu Tan would return to the company as CEO](#) on March 18. At the time of his appointment, Tan said Intel would be an "engineering-focused company" under his leadership.

February

Intel's Ohio chip plant gets delayed again

February 28: Intel was supposed to start operating its first chip fabrication plant in Ohio this year. Instead, [the company slowed down construction](#) on the plant for the second time in February. Now the

\$28 billion semiconductor project won't wrap up construction until 2030 and may not even open until 2031.

Senators call for more chip export restrictions

February 3: U.S. senators, including Elizabeth Warren (D-Mass) and Josh Hawley (R-Mo), wrote a letter to Commerce Secretary Nominee-Designate Howard Lutnick [urging the Trump administration to further restrict](#) AI chip exports. The letter specifically referred to Nvidia's H20 AI chips, which were used in the training of DeepSeek's R1 "reasoning" model.

January

DeepSeek releases its open "reasoning" model

January 27: Chinese AI startup [DeepSeek](#) caused quite the stir in Silicon Valley when it released the [open version of its R1 "reasoning" model](#). While this isn't semiconductor news specifically, the sheer alarm in the AI and semiconductor industries DeepSeek's release caused continues to have ripple effects on the chip industry.

Joe Biden's executive order on chip exports

January 13: With just a week left in office, former president Joe Biden [proposed sweeping new export restrictions](#) on U.S.-made AI chips. This order created a three-tier structure that determined how many U.S. chips can be exported to each country. Under this proposal, Tier 1 countries faced no restrictions; Tier 2 countries had a chip purchase

limit for the first time; and Tier 3 countries got additional restrictions.

Anthropic’s Dario Amodei weighs in on chip export restrictions

January 6: Anthropic co-founder and CEO Dario Amodei co-wrote an op-ed in [The Wall Street Journal](#) endorsing existing AI chip export controls and pointing to them as a reason why China’s AI market was behind the U.S.’. He also called on incoming president Donald Trump to impose further restrictions and to close loopholes that have allowed AI companies in China to still get their hands on these chips.

This story originally published May 9, 2025, and is regularly updated with new information.

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IMAGE CREDITS: CATHERINE SHU



Devices built with Intel's Ice Lake and Project Athena specifications will be available in time for the holidays

Catherine Shu — 1:18 AM PDT · May 28, 2019

Even before Computex officially launched today, AMD and Qualcomm threw down the gauntlet at Intel with [a new chip](#) and a [5G PC](#), respectively. Today Intel responded in kind during its keynote presentation in Taipei, introducing new processors and laptops, in addition to unveiling Ice Lake, its 10th generation Intel Core chips.

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Now shipping to OEMs, the 10-nm processors will increase speeds for AI computing tasks and graphics and boost wireless speeds up to three times, Intel says. Built on Intel's Sunny Cove architecture and Gen11 graphics engine, the series includes chips with up to 4 cores and 8 threads, up to 4.1 max turbo frequency and up to 1.1GHz graphics frequency. Gen11 will enable faster graphics in laptops, 4K HDR in a billion colors and games with up to two times faster frames per second, Intel claims. With Thunderbolt 3 and Intel Wi-Fi 6 (Gig+) inside, the company says the chips will also enable up to three times faster wireless speeds. Devices powered by Ice Lake are expected to be available for purchase by the holidays.

The company also unveiled Intel's new class of laptops, Project Athena. Laptops built to Athena 1.0 specifications wake from sleep in less than a second, claim battery life of 9 or more hours under real-life conditions based on Intel's testing conditions (with default settings, display brightness set to 250nits and continuous Internet connection with apps like Office 365 and Google Chrome running in the background) or 16 or more hours in local video playback mode. They are built with Thunderbolt 3, Intel Wi-Fi 6 (Gig+) and OpenVINO and scheduled to be available in time for this holiday season.

Lenovo's senior vice president of consumer devices Johnson Jia, who helped launch Qualcomm's first Snapdragon-powered 5G laptop yesterday, returned to the stage with Intel to showcase the the ultra-lightweight (1.2kg) Yoga S940 laptop, built on Project Athena, scheduled to go on sale in time for (you guessed it) the holidays.

Yesterday, AMD revealed the 12-core Ryzen 9 3900X, retailing for just half of Intel Core i9 9920X's \$1,100 starting price. Intel recaptured some thunder with its Intel Core i9-9900KS processor. Part of its

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9th-generation chip series, the eight-core Core i9-9900KS is aimed at gamers who want to play and livestream at the same time. Like Intel's other 9th-generation chips, it features mobile 5Ghz, and can run all eight cores at 5GHz all the time. Pricing has not been disclosed, but Intel announced that it will also be available by the holidays.

For gamers, Intel showed off its 9th-generation Intel Core-powered laptops Alienware M15 and M17, which boost mobile Ghz, a 8-core, 16-thread processor and faster frame rates and reaction times. The two laptops are expected to begin selling on June 11 at a starting price of \$1,500.

Intel also announced that the Intel Performance Maximizer will be available for free download next month. The software makes overclocking more accessible by testing every core in a 9th-generation desktop processors and bringing it to maximum frequency.



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